

Corporate Social Responsibility in Xiaomi Inc.

FOM Assignment 1

M. Moiz Ansari

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BS(CS)-F

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Maam Zoya Mashadi

INTRODUCTION

Xiaomi Inc. is one of the world's fastest growing companies, exceling in mobile phones, tablets, televisions, home accessories, and even electric vehicles. It is China's leading company having a significant effect on China's society, economy and environment. CSR (Corporate Social Responsibility) plays a crucial role in Xiaomi's business strategy. CSR is the company's initiative to positively impact society and environment keeping aside its business profits. It may include side projects such as charity donations, voluntary stuff, as well as environment friendly production. Xiaomi has successfully adapted a wide range of strategies to maintain its reputation among society.



Existing CSR Strategies

- **Environmental Sustainability**

“Xiaomi has established an energy management system compliant with ISO 50001. Xiaomi focuses on low-carbon and energy-saving practices across product design, production, sales, and logistics” (Xiaomi, 2023). Apart from that, Xiaomi has taken a giant step towards the production of Electric Vehicles (EVs) to promote eco-friendly practices. Their EV factory harnesses a total of 16.4M kWh annually (Kumar, 2024). This significantly reduces the carbon footprint and combat climate change.

- **Ethical Labor Practices**

Xiaomi conducts labor risk assessments on its suppliers to prevent unethical practices. They make sure that their suppliers prevent child labor, avoid discrimination in employment, ensure safeguard of the workplace, ensure fire safety, etc. (Xiaomi, 2023). The company ensures fair wages and employee well-being through their "Xiaomi Supplier Social Responsibility Code of Conduct".

- **Community Engagement**

In the year 2020, during Covid-19, Xiaomi left no crumbs left in community services. They “distributed 2.7 million masks, 50,000 pairs of disposable gloves, 28,000 protective suits and various other epidemic-related equipment to more than 40 countries and territories” (Xiaomi Corporation, 2020). Aside, they donated around 1000 smartphone across 10 regions of Spain, to students who did not have access to facilities for online education. Apart from that Xiaomi donated 2 million RMB to several villages facing poverty.

Suggested CSR Improvements

- **E-Waste Management and Recycling Programs**

Xiaomi does not have a global recycling program like Apple or Samsung. They already have a trade-in program, but it’s limited to very few countries. A larger trade-in program of old smartphones will help reduce electronic waste.

- **Improve Supply Chain Transparency & Labor Standards**

Xiaomi has faced challenges regarding supply chain transparency & labor standards. In the 2020 *KnowTheChain* benchmark, Xiaomi scored 0 out of 100, ranking last among 49 technology companies in addressing forced labor risks in its supply chain. (Knowthchain, 2020). They should ensure compliance with labor standards and partner with non-governmental organizations to improve labor practices.

- **Improve Longevity of Products**

Xiaomi devices face issues of long duration life of their smartphone due to the lack of easy repair options. They should produce compatible designs offering accessible repair parts and provide repair services in different countries.

Conclusion

Xiaomi has made a significant progress in CSR including environmental sustainability, ethical labor practices, as well as community services in the worst times of China. However, improvements in e-waste management, labor standards and production of long-lasting products might help the company to become a World leading company in the future.

References

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